

The point is that a lousy cheap stock is just as risky as a lousy expensive stock if it goes down. If you'd invested \$1,000 in a \$43 stock or a \$3 stock and each fell to zero, you'd have lost exactly the same amount. No matter where you buy in, the ultimate downside of picking the wrong stock is always the identical 100 percent.

Yet I'm certain there are buyers who can't resist a bargain at \$3 and say to themselves: "What can I lose?"

It's interesting to note that the professional short sellers, who profit on stocks that go down in price, usually take their positions nearer to the bottom than to the top. The short sellers like to wait until a company is so obviously foundering that bankruptcy is a certainty. It doesn't bother them to get involved at \$8 or \$6 a share instead of at \$60, because if the stock goes to zilch, they'll make exactly the same profit in either instance.

And guess who they're selling to when the stock's at \$8 or \$6? All those hapless investors who are telling themselves, "How can I lose?"

EVENTUALLY THEY ALWAYS COME BACK

So will the Visigoths and the Picts, and Genghis Khan will ride again. People said RCA would come back, and after 65 years it never did. This was a world-famous successful company. Johns-Manville is another world-famous company that hasn't come back, and with all the asbestos lawsuits filed against it, the possibilities are too open-ended to measure. By printing hundreds of millions of new shares, the company has also diluted its earnings, just as Navistar did.

If I could only remember the names, I could give you a much longer list of smaller and lesser-known public companies whose blips have disappeared from the Quotrons forever. Perhaps you've invested in a few of these yourself—I wouldn't want to think I was the only one. When you consider the thousands of bankrupt companies, plus the solvent companies that never regain their former prosperity, plus the companies that get bought out at prices that are far below the all-time highs, you can begin to see the weakness in the "they always come back" argument.

Health Maintenance Organizations, floppy disks, double knits, digital watches, and mobile home stocks haven't come back so far.

IT'S ALWAYS DARKEST BEFORE THE DAWN

There's a very human tendency to believe that things that have gotten a little bad can't get any worse. In 1981 there were 4,520 active oil-drilling rigs in the U.S., and by 1984 the number had fallen to 2,200. At that point many people